MECA

MARCH 2026

# NEWSLETTER

www.meca.com.my | MEMBER'S COPY



P.07

## Digital Surveillance

***Legally Defining Limits on Continuous Performance Monitoring in Malaysia***



P.12 **Case Spotlight**

***The dismissal of a Security Guard following allegations of verbal sexual harassment***




P.13 **March's Roundtable**

***Managing HIV-Related Discrimination and Other Forms of Discrimination in the Workplace***





# MONTHLY ROUNDUP

## Employer's Insight

This month, we are seeing a palpable shift in how employers are approaching documentation and automation, particularly in areas such as compensation adjustments, contract issuance, and employee communications.

Many organisations are moving toward system-generated letters, digital acknowledgements, and paperless HR processes. While this is operationally efficient and aligns with global HR trends, it is critical to remember that Malaysian employment law still places significant weight on clarity, consent, and evidentiary value. Not merely process efficiency.

From a legal standpoint, the key question is not whether a process is digital, but whether it is:

- Capable of being proven (in the event of a dispute); and
- Clear and unequivocal in communicating contractual changes.

We are also observing increased employer focus on cost management measures, including contract roles, restructuring, and tighter benefit controls. While commercially understandable, these measures must be carefully balanced against statutory obligations and industrial relations risk, particularly where decisions may be perceived as unfair, inconsistent, or lacking transparency.

The takeaway this month:

" Efficiency should not outpace legal defensibility. "

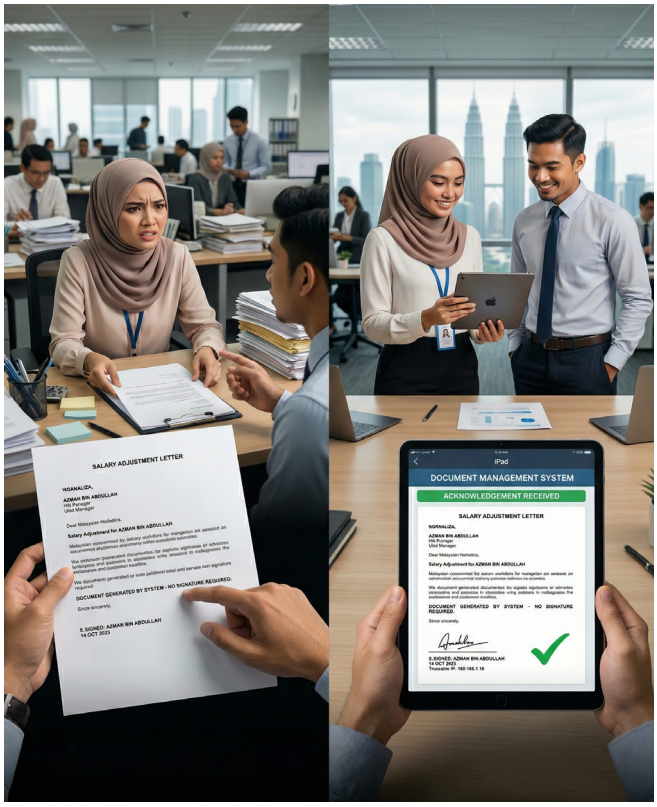
# What Employers Are Getting Wrong (This Month)

## 1 Over-Reliance on System-Generated Documents

A recurring issue this month involves employers relying entirely on auto-generated letters (e.g. salary adjustments, bonus notifications, or promotion letters) without signatures, acknowledgements, or formal issuance protocols.

While not strictly prohibited, problems arise when:

- There is no proof the employee received or understood the document; or
- The document reflects contractual changes without clear acceptance
- In disputes, employers may struggle to prove that the terms were properly communicated or agreed.




**MECA Insight:**

Digital processes are acceptable. However, employers should ensure traceability (e.g. email logs, system acknowledgements) and clarity on whether the document is informational or contractual in nature.

## 2 Treating Fixed-Term Contracts as a Risk-Free Option

We continue to see employers using short-term or rolling contracts as a default workforce strategy particularly for temporary coverage or cost control.

**The misconception:**
"If it's a fixed-term contract, there is no obligation beyond expiry."

**The reality:**
If the contract is repeatedly renewed or used for permanent functions, it may be deemed a permanent employment relationship wearing a façade of a fixed-term contract, exposing employers to claims for unfair dismissal upon non-renewal.




**MECA Insight:**

Employers should ensure that fixed-term contracts are genuinely time-bound and purpose-specific, not a substitute for permanent roles.

## 3 Informal Handling of End-of-Service and Retirement Matters




Some employers continue to treat retirement or end-of-service transitions as administrative rather than legal events which result in a failure to:

- Provide proper written notice
- Issue formal cessation documentation
- Comply with tax notification requirements

This exposes employers to both regulatory non-compliance and employee disputes.

**MECA Insight:**

Retirement is a statutory and contractual milestone, not merely an operational event. Proper documentation and compliance steps are essential.

## 4 Assuming "No Complaint equals No Risk"




A subtle but important trend: employers assuming that if employees do not immediately challenge a decision, the risk has passed.

In reality, claims (particularly under industrial relations) can arise after the fact, especially where employees later reassess their position or seek external advice. We live in the epoch of information and technology. Answers are just one tap/scroll away nowadays

**MECA Insight:**

Silence is not consent and it is certainly not protection. Employers should act on the basis of legal defensibility, not employee reaction.

## CLOSING NOTE




Across all of the above, a common thread emerges:

**Many employer missteps are not due to bad intent but due to over-simplification of legal requirements in pursuit of efficiency.**

As workplaces evolve, employers must ensure that:
- Processes are not only efficient, but legally robust; and
- Decisions are not only commercially sound, but defensible if challenged

If you are currently reviewing your HR processes, contracts, or internal policies, this is an opportune time to ensure alignment. Not just with business goals, but with legal expectations.

# UPCOMING MECA EVENTS

Tue
07
April 2026




MECA IR Series Webinar

**Managing Poor Performance Before It Becomes a Legal Problem**

Wed
08
April 2026




MECA April Roundtable Session

**The Changing Workforce: Managing Foreign Workers and Gig Workers in Malaysia's New Legal Landscape**

Wed
15
April 2026



MECA Mini Convention

**Union Representation Is Set to Increase: Trust, Unions, and the New Employer Play-**

# MEET YOUR MECA CONSULTANT




## Manjeev Singh
*Consultant,* MECA

### Q1 When can a non-renewal of a fixed-term contract be considered an unlawful dismissal in Malaysia?



**Most employers think...**
If a fixed-term contract reaches its stated expiry date, the employment simply ends and there is no dismissal issue. That assumption is only safe where the contract is a **genuine** fixed-term arrangement, used for a real temporary purpose such as a defined project, a time-limited operational need, or a temporary replacement. Malaysian employment law does not stop at the label on the contract; the court will examine the reality of the arrangement.

**But in practice...**
A non-renewal can be treated as a dismissal if the so-called fixed-term contract is, in substance, ongoing employment dressed up as temporary employment. That risk increases where the employee is repeatedly renewed, performs work of a continuing and permanent character, or is led to believe that employment will continue. In those circumstances, the employee may argue that the "expiry" was not a true expiry at all, but a termination without just cause or excuse capable of being challenged under section 20 of the Industrial Relations Act 1967.

**Where it goes wrong...**
The difficulty usually starts when employers use fixed-term contracts as an administrative convenience rather than for a defensible business reason. Repeated renewals without a clear temporary rationale, assigning the employee to a role that is part of the ordinary permanent workforce, or making statements that imply continuity can all weaken the employer's position. The problem becomes more acute where the employer has concerns about performance or misconduct but chooses to let the contract "expire" instead of dealing with the issue directly and fairly. That creates an argument that the expiry was used as a substitute for a proper disciplinary or performance process.

**What I would do instead...**
I would first test whether the role is genuinely temporary and document that justification from the outset. I would also ensure that the contract terms, the operational reality, and the employer's communications are consistent with a true fixed-term

arrangement. Where there have been multiple renewals, I would reassess whether the role has effectively become permanent. If the decision not to renew is actually connected to performance, conduct, or capability, I would not rely on expiry alone. I would address the issue through a proper process, with contemporaneous records and procedural fairness, because that is what reduces exposure if a section 20 representation is later filed.



## Q2 What are the most common legal pitfalls employers face when managing employee misconduct, and how can they mitigate risk?

**Most employers think...**
If the misconduct is obvious, dismissal should be straightforward. Legally, that is not the safe view. In Malaysia, the issue is rarely only whether misconduct happened; the issue is whether the employer can show **just cause or excuse** and that the employee was treated with procedural fairness. Section 14 of the Employment Act 1955 requires a **due inquiry** before punishment for misconduct, but the law does not treat every case as requiring the same formal process.

**But in practice...**
What defeats employers is often not the lack of grounds, but the weakness of the process. Employers move too quickly, investigate too little, draft vague show cause letters, or impose sanctions before giving the employee a fair opportunity to answer. A formal domestic inquiry is often prudent, especially in serious or disputed cases, but current authority also shows that what matters is whether the employer has carried out a fair **due inquiry;** in some circumstances, the absence of a formal domestic inquiry is not necessarily fatal if the employee was informed of the allegations and given a real opportunity to respond.

**Where it goes wrong...**
The usual points of failure are predictable: no proper fact-finding before action is taken; a show cause letter that is too general to let the employee answer meaningfully; no real opportunity to be heard; inconsistent treatment between employees; and punishment that is disproportionate to the misconduct. Documentation is another recurring weakness. Employers may believe they acted reasonably, but if the paper trail is thin, the case becomes harder to defend in the Industrial Court.

**What I would do instead...**
I would run misconduct cases through a disciplined framework. First, investigate promptly and objectively. Second, issue a clear show cause letter setting out the allegations with enough detail for the employee to respond properly. Third, decide whether the matter requires a formal domestic inquiry, particularly if facts are disputed or the allegation is serious. Fourth, evaluate sanctions proportionately and consistently. Fifth, preserve records at every stage. That approach does more than improve legal defensibility; it also demonstrates managerial discipline and governance credibility.

# Digital Surveillance & the Preservation of "Workplace Solitude":

*Legally Defining Limits on Continuous Performance Monitoring in Malaysia*



The modern workplace is undergoing a profound transformation. Digital tools that once promised efficiency, transparency, and accountability have increasingly evolved into systems of continuous surveillance. From keystroke logging and screen capture software to real-time productivity dashboards and AI-driven behavioural analytics, employers now possess unprecedented visibility into how, when, and even *how intensely* employees work. While these technologies may be commercially attractive, they raise an uncomfortable and increasingly urgent question: **where does legitimate performance management end, and unlawful intrusion into employee dignity and mental well-being begin?** In Malaysia, this question remains largely unsettled - yet the legal and ethical implications are becoming impossible for employers to ignore.

## The Concept of "Workplace Solitude"

"Workplace solitude" does not suggest an absence of supervision or accountability. Rather, it refers to an employee's reasonable expectation of autonomy, psychological space, and freedom from constant observation while performing their duties. This concept is closely linked to **human dignity,** a principle increasingly recognised in employment jurisprudence, even in jurisdictions without explicit constitutional privacy rights in employment.



Continuous performance monitoring - particularly when covert, excessive, or disproportionate - erodes this solitude. Employees may feel perpetually watched, judged, and quantified, leading to heightened stress, anxiety, and a phenomenon known as "digital presenteeism," where employees feel compelled to appear constantly active, even at the expense of meaningful productivity or mental health systems, while still focusing on growth.

# The Malaysian Legal Landscape: No Explicit Prohibition, But Clear Boundaries

Malaysia does not currently have a single statute that expressly prohibits digital workplace surveillance. However, this does not mean employers have unfettered discretion.

Several legal frameworks collectively impose implicit limits:

1. **Employment Act 1955 (EA 1955)**
   While the EA 1955 is largely silent on surveillance, it enshrines the employer'sduty to act fairly and in good faith. Any monitoring practice that results in oppressive working conditions, excessive control, or constructive dismissal risk may fall foul of industrial law principles, particularly under Section 20 of the Industrial Relations Act 1967 (IRA).

2. **Industrial Relations Act 1967 & Case Law**
   Malaysian courts and the Industrial Court consistently emphasise that managerial prerogative is not absolute. Surveillance measures that are unreasonable, disproportionate, or implemented without proper communication may be deemed a breach of trust and confidence - an implied term of every contract of service.

3. **Personal Data Protection Act 2010 (PDPA)**
   Digital surveillance almost invariably involves the collection and processing of personal data. Under the PDPA, employers (as data users) must comply with principles of notice, purpose limitation, proportionality, and security. Continuous monitoring that exceeds its stated purpose or is conducted without adequate notice may expose employers to regulatory and civil risk.

4. **Occupational Safety and Health Act 1994 (OSHA)**
   Increasingly, mental health is recognised as part of workplace safety. Excessive monitoring that contributes to psychological harm may be argued to breach an employer's duty to ensure, so far as practicable, the safety, health, and welfare of employees at work.






# Mental Health Implications: A Growing Employer Liability

From a practical standpoint, the link between constant surveillance and deteriorating mental health is well-documented. Employees subjected to continuous monitoring report higher levels of stress, burnout, sleep disturbances, and reduced job satisfaction.



In Malaysia, where awareness of workplace mental health is gaining traction, this presents a latent liability risk. Should an employee establish that intrusive monitoring contributed to anxiety, depression, or burnout - particularly where warnings or complaints were ignored - employers may face claims framed around constructive dismissal, unfair labour practice, or failure of duty of care.

The legal risk is amplified where monitoring is:

* Conducted covertly;
* Applied indiscriminately without role-based justification;
* Used punitively rather than developmentally; or
* Implemented without consultation or clear policy frameworks.

# Human Dignity and the Erosion of Trust



Beyond legality, there is a deeper issue: **the erosion of human dignity in the employment relationship.** Treating employees as data points rather than professionals undermine mutual trust - a cornerstone of sustainable industrial harmony.

Malaysian industrial jurisprudence has long recognised that employment is not purely transactional. The courts frequently refer to fairness, equity, and good conscience. A workplace culture built on constant surveillance risks being perceived as dehumanising, which in turn fuels disengagement, attrition, and industrial disputes.

# Defining Lawful and Ethical Limits: Practical Guidance for Employers

To balance legitimate business interests with employee rights, employers should consider the following best practices:

1. **Necessity and Proportionality**
   Monitoring should be demonstrably necessary for a legitimate business purpose and proportionate to the risk being managed.

2. **Transparency and Consent**
   Employees must be clearly informed of what is monitored, how, and why. This should be documented in policies, contracts, and PDPA notices.

3. **Purpose Limitation**
   Data collected for productivity should not be repurposed for disciplinary action unless expressly disclosed and justified.

4. **Human Oversight**
   Automated metrics should not replace managerial judgment. Over-reliance on algorithms increases legal and ethical risk.

5. **Mental Health Safeguards**
   Employers should assess the psychological impact of monitoring tools and provide channels for feedback, review, and appeal.





## Conclusion

Digital surveillance is not inherently unlawful - but unchecked, it can become corrosive. Malaysian employers stand at a crossroads: they can either use technology as a tool of stewardship and support, or as an instrument of control that erodes dignity, trust, and mental well-being.

The future of compliant and sustainable workforce management lies not in constant observation, but in clearly defined limits that preserve workplace solitude, human dignity, and mental health. Employers who recognise this early will not only reduce legal risk, but also build more resilient, engaged, and humane organisations.

# Coming Soon...

MECA MINI CONVENTION



**Pritika Menon**
Consultant



**Anna Balasubramaniam**
LEAD CONSULTANT



**Dharmen Sivalingam**
CEO



**Astiqamah Abdullah**
Sr. Consultant

## UNION REPRESENTATION IS SET TO INCREASE

Trust, Unions, and the New Employer Playbook

**15/04/2026**

Connexion Conference & Event Centre
Nexus Bangsar South

Scan this QR to secure your seat

www.meca.com.my

SCAN HERE

# CASE SPOTLIGHT

## Camillius Casimir v Genting Malaysia Berhad

### Award No: 1615 of 2025 (Industrial Court)

## BRIEF FACTS

This case arose from the dismissal of a Security Guard employed by Genting Malaysia Berhad following allegations of **verbal sexual harassment** towards a female employee.

The employee had commenced employment with the Company on 22 September 2016 and was working as a Security Guard at the Sky Casino premises at the time of the incident.

On 26 December 2023, the employee was suspended pending investigations into allegations that he had made an inappropriate remark to a female staff member at the workplace. The allegation concerned an incident on 14 December 2023 at approximately 7.09 a.m. where the employee had said to a female colleague, ***"Amoi, makan hot dog ya?"*** while both were at the breakfast area in the casino premises.

The Company treated the remark as verbal sexual harassment, alleging that the phrase "hot dog" was used with sexual connotations. Investigations also revealed that the employee had on several occasions approached other female staff members with suggestive or intrusive questions and had repeatedly attempted to contact one employee through text messages.

A Domestic Inquiry was convened on 12 January 2024. The employee denied that the remark was sexual in nature and contended that he had merely been referring to the grilled sausage served during breakfast that morning.

The Domestic Inquiry Panel nevertheless found the employee guilty of the charge. The Company subsequently dismissed him from employment on 16 January 2024 on grounds of sexual harassment and misconduct.

The employee then brought a claim under section 20 of the Industrial Relations Act 1967 alleging that his dismissal was without just cause or excuse.

## COURT'S FINDINGS

The Industrial Court held that the Company had successfully proven the misconduct on a balance of probabilities and that the dismissal was justified.

The Court found that:

**The employee admitted making the remark to the female staff member.**

Although the remark could initially appear innocuous in the context of breakfast being served, the employee's own statements during the investigation revealed that he had approached the employee because he was interested in her.

Evidence from several female employees demonstrated a pattern of behaviour where the employee approached them with suggestive remarks, personal questions, or repeated messages that made them feel uncomfortable.

In sexual harassment cases, the key consideration is whether the conduct complained of was unsolicited or unwelcome by the recipient.

The Court also emphasised that the Industrial Court's role is not to determine guilt beyond reasonable doubt but to assess whether the employer had reasonable and sensible grounds to believe the misconduct occurred.

Given the evidence of the employee's conduct towards multiple female staff members and the discomfort caused to them, the Court held that the Company had valid grounds to conclude that the employee had committed sexual harassment.

Further, as a Security Guard, the employee was entrusted with ensuring a safe environment for staff and guests. His conduct had therefore destroyed the trust and confidence necessary for the continuation of the employment relationship.

Accordingly, the Court found that the dismissal was carried out with just cause and excuse, and the employee's claim was dismissed.

# MARCH EVENT RECAP




March Roundtable : 11-03-2026 @ Connexion (Nexus Bangsar South)







## **Breaking the Stigma:** Managing HIV-Related Discrimination and Other Forms of Discrimination in the Workplace

On 11 March 2026, MECA hosted its 3rd Roundtable Session at Connexion, Bangsar, titled *"Breaking the Stigma: Managing HIV-Related Discrimination and Other Forms of Discrimination in the Workplace"* . The session centred on workplace discrimination, with particular emphasis on HIV status, religion, and gender - areas that continue to present practical and legal challenges for employers in Malaysia.

The discussion was anchored on a series of practical scenarios designed to prompt critical thinking among participants. These included issues such as religious expression in the workplace (e.g. restrictions on wearing the tudung), recruitment bias through unjustified language requirements, gender identity considerations, and the handling of employees with medical conditions such as HIV . These case studies enabled participants to explore not only the legal risks involved but also the broader implications on organisational culture, inclusivity, and reputation.






From a legal perspective, the session highlighted that while Malaysia does not have a single comprehensive anti-discrimination statute, protection against discrimination is addressed through multiple frameworks, including the Federal Constitution, the Industrial Relations Act 1967, and the Employment Act 1955 .

Participants were guided through key provisions such as Article 8 on equality, Section 20 of the Industrial Relations Act on unfair dismissal, and the introduction of Section 69F of the Employment Act relating to gender discrimination. Importantly, the practical limitation of constitutional protections in private employment relationships was also discussed, reinforcing the need for employers to rely on statutory compliance and sound HR practices.

The session further examined the different forms of workplace discrimination, including direct and indirect discrimination, harassment, and victimisation, alongside emergingconcerns such as pregnancy and age discrimination . These discussions provided participants with a clearer framework to identify  isk areas within their own organisations and to take proactive steps in managing them.



# THE END

Level 13-07, PJX-HM Shah Tower,
No. 16A, Persiaran Barat, 46050,
Petaling Jaya. (Tel: +603 2779 4227)
admin@meca.com.my
www.meca.com.my

